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CORPORATE GOVERNANCE AND FIRM PERFORMANCE: EVIDENCE FROM SELECT INDIAN LISTED COMPANIES

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ABSTRACT:

Corporate governance exists as the mechanism which enables companies to be managed and their operations to be monitored. Weak governance systems lead to severe repercussions which impact shareholders, employees, and market operations. The research investigates how three principal governance metrics of board size and independent director ratio and female board member connection of presence to the financial results of five major Indian companies listed on also at the National Stock Exchange , and also at the Bombay Stock Exchange as well. Five companies selected are Reliance Industries Limited, Infosys Limited, Tata Consultancy Services Limited, HDFC Bank Limited, and Wipro Limited. The research analysis includes three academic periods which span from 2021 until 2024. The study uses data from the audited annual reports of each company and from their SEBI-compliant disclosures which they submitted to the National Stock Exchange and Bombay Stock Exchange. The assessment uses operational revenue and post tax net profit, as well as Return on Equity , kind of works as a performance indicator. The results show that companies with a higher number of independent directors representation, tend to perform better achieve more stable financial results, whereas board size doesn't always, or, maybe it just sometimes, lead to improved performance results that actually stick around. Tata Consultancy Services holds the smallest board through its full board independence which results in a 46.0 percent Return on Equity across the research period. Wipro maintains a similar governance framework to Wipro but shows decreasing Return on Equity because governance quality extends beyond meeting numeric standards. The research shows that governance structure acts as a crucial financial performance factor which affects financial performance for all major Indian companies traded on stock exchanges.

Keywords: *Firm governance, independent board membership, firm performance, return on equity, Indian debt organization*

1. Introduction

The corporate governance framework sets the rules that businesses should adhere to regarding how they operate and manage their organizations. The governance system operates under its simplest form by addressing the following three crucial questions. Who is responsible for making decisions in the organization? How are decisions made in the organization? Who is actually responsible, for the after effects of the decisions made? When the governance system works in a effective way, it's because the outputs of the processes kind of match what the organization's managers want , as well as what the shareholders expect. In other words, it's considered to be functioning properly when those results do meet the organization's expectations. Faults deep within how organizations are run often lead to falling share values, along with dishonest practices emerging. A breakdown in oversight opens doors to misconduct, sometimes dragging markets down with it. When leadership falters, trust erodes prices dip soon after. Poor decision chains create openings where deceit takes root instead of accountability. Weak structures invite missteps, then investors pay the cost

Twenty years back, some moments stood out clear signs of how oversight broke down across Indian institutions. Take Satyam Computers in 2009: those outside board members missed red flags for years while numbers were twisted behind closed doors. Then came 2018, when Infrastructure Leasing & Financial Services fell apart

because its internal checks were weak, almost hollow at core. Things unfolded not by design, yet they still happened. Failure wasn't sudden; it grew slowly inside structures that seemed solid until tested.

One step at a time, SEBI eased worries through gradual changes. Back in 2000, the Listing Agreement introduced Clause 49, setting India apart by requiring listed companies to name independent directors. A shift came in 2013 when the new Companies Act pushed firms to bring women onto boards while also tightening rules on reporting deals involving connected parties. By 2015, fresh rules took shape - called LODR, short for Listing Obligations and Disclosure Requirements - folding past norms into one framework. These replaced Clause 49, baking in fixed shares of independent board members where needed, demanding audit committees be formed, and sometimes splitting the roles of Chairperson and Managing Director

Right now, studies are digging into something important - something wider than just ticking boxes for rules. Instead of merely checking off requirements, they examine how Indian companies

perform financially when their leadership systems are tighter. This isn't theoretical; it shows up clearly in actual company records. Boards exist first to boost returns for shareholders, yet another role quietly sits beside that - to satisfy auditors and government watchdogs. When management practices rise in quality, profits often follow, making strong oversight less about legal pressure and more about staying viable. Laws may require better governance, but survival pushes it harder

This study takes a look at five major Indian companies across three consecutive financial years to tackle the research question, sort of. The companies that are being looked at in this research paper includes Reliance Industries Limited, Infosys Limited, Tata Consultancy Services Limited, HDFC Bank Limited, and some other similar entities

, but mainly those firms are highlighted. The study will cover three consecutive financial years, starting with FY 2021–22, followed by FY 2022–23, and ending with FY 2023–24. The data use d in this research paper, has been taken from primary sources like the annual reports from those firms.

The selected governance variables consist of three variables which are board size, independent directors, and number of women directors. The selected performance variables include three financial performance measures which are revenue from operations, net profit after tax, and Return on Equity. The chosen variables meet three conditions because they are well defined and their information can be checked through publicly available records, and the data from the five firms has been gathered using the same variables for the whole research period, though sometimes it feels a bit repetitive.

The rest of the paper kind of organized as follows. In section 2, existing research work on this topic will be reviewed , in a way. In section 3, the research method and model will be presented. The results from the data analysis will be shown in Section 4. Conclusion , plus directions for future work, will be discussed in Section 5.

2. Literature Review with Research Gap

2.1 Theoretical Foundation

Some of the key agency problems is kind of the thing that really forms the basis on which the academic discipline of corporate governance is built, or at least that's how it's usually framed. Berle & Means (1932) already pointed out that there is an inherent structural conflict inside any

contemporary firm. Most times, the people who own a corporation, meaning the shareholders, do not line up with the people who manage it. Managers do have decision making power but they do not really bear the costs of their mistakes in a financial way. On the other side, shareholders take on, financially, basically all of the risks, yet they cannot influence managerial decisions in practice. In these situations, managers personal interests may end up taking precedence over the need to act in the interest of stakeholders, and that's where a lot of the governance debate starts..

The observation above has been used to develop a model by Jensen & Meckling (1976) . According to the authors , there were three main types of costs that show up because of the separation between two groups, which in practice, becomes a little messier to manage. The agency costs are viewed as mechanisms for minimizing the said agency costs. The board of directors is responsible to have an effective control over the decision of managers and also to communicate the shareholders that they have ability to review the decisions of managers.

The logic Above, it has been expanded upon by Fama and Jensen (1983) to the board itself, asserting that good boards will be able to separate decision management and decision control because of the work involved in

decision making in its totality. Independent directors from the management can efficiently take on the role of

decision controllers. A theoretical background serves as the basis of the current regulation that mandates Indian public corporations to have independent directors depending on the stipulations of LODR 2015.

2.2 Board Size and Firm Performance

Numerous scholars have done various studies on the Effect of board dimension on financial performance. Surprisingly, a 1996 analysis from Yermack showed bigger boards tend to lower Tobin's Q a measure of market worth among U.S. Fortune 500 companies. Coordination grows harder when more people join the board, researchers noticed. Members might start leaning on others instead of acting, evidence suggests. Effectiveness dips as oversight weakens under bulkier groups. What looked like strength turned into a barrier, data implied.

Out of the 180 big Indian company studied back in 2009 by Jackling and Johl, bigger boards tended to drag down asset returns. Their findings pointed toward added complexity when more

people sit at the table. Instead of unity, what showed up was mixed outcomes from outside directors. Depending on how much control stayed within founding families, those results shifted noticeably

One study from 1998 by Eisenberg, Sundgren, and Wells looked at small companies in Finland. That finding shows it's not just big U.S. firms where board size matters. When boards grow beyond a point, problems start piling up. Because of how directors operate, their downsides begin to outweigh the benefits they bring.

2.3 Board Independence and Financial Performance

The findings related to board independence, however, present a more mixed picture. Later findings showed something different. Bhagat and Black in 2002 looked at many typical American companies. Their results pointed toward no clear link between having outside board members and stronger company results across years. Instead of just counting how many nonaffiliated individuals sat on boards, the real issue seemed tied to engagement depth during decision-making moments. Not quantity but quality stood out as critical.

Looking at India, Dey and Chauhuun in 2020 used LODR rules as if they were an accidental test. Firms adding more non-executive directors because of these rules actually saw better results on paper. Turns out, what might seem like red tape leads to real money outcomes - governance here isn't just ticking boxes.

Kumar and Singh said in 2013 that outside board members bring almost no benefit to companies in India when bosses come from the family that started the firm. Even if independence is on paper, loyalty still runs toward the founding kin. Knowing how these two sides differ shapes corporate oversight there.

2.4 CEO Duality and Audit Committee Independence

CEOs' dual status is the condition where the same individual acts as the CEO and Chairman. One reason this mix of duties weakens supervision comes up in Jensen's 1993 analysis - CEOs can control both data flow and meeting topics. Instead of balancing power, holding two key positions lets one person shape what gets seen or discussed. From Rechner and Dalton back in 1991, companies without combined leadership show stronger financial outcomes across six years. Not sharing those roles seemed linked to better performance numbers. In India, Mishra and Mohanty saw similar results by 2014 then the presence of dual authority tied closely to changes in Tobin's Q.

Audit committee independence matters a lot, not simply because it looks good on paper. Firms that kept these groups separate from management, according to Klein (2002), tended to avoid tricks like tweaking profit numbers. In India, distance within these panels takes even greater weight - many listed companies run deals through promoter-linked entities.

2.5 Research Gap

However, the current studies offer key insights but generate substantial knowledge gaps. Most governance studies on India were done either prior to or shortly after the introduction of LODR 2015; thus, there is no analysis on real corporate practices under full compliance with LODR 2015. The current literature relies on large sample statistical methods such as pooled regression analysis and fix effects model on using instrumental variables, but such methods are inaccessible to practitioners and learners without professional training.

The current research meets the criteria for further empirical study by identifying necessary comparative studies using reliable data on established Indian corporations during the LODR era by analyzing their operational

activities. This paper analyzes five leading companies during The three preceding financial years, on their reported and regulatory agency data.

3. Research Design / Model

3.1 Research Approach

The research adopts the descriptive and comparative research design. The research methodology utilizes descriptive qualitative techniques since the researchers collect data about the governance and performances from primary sources and present them as a tables. Also, the research methodology is not based on regression analysis, correlation coefficients, and statistical computer packages for calculations. The research remains accessible to everyone using this approach, as the entire data presented is available to anyone who would like to check the originality of the collected primary data.

The research will adopt the deductive research methodology. According to the existing theory, so that has been predicted that increased board independence leads to better performances and large boards lead to difficulties, while gender diversity leads to consistency. The predictions will be tested through observable data from five firms during a period of three years..

3.2 Sample Selection

Four distinct criteria were applied in the selection of five different companies. All five selected companies have their stocks listed in National Stock Exchange and Bombay Stock Exchange, hence governed by SEBI LODR 2015. Five companies selected in the research are among the top companies in India, meaning that they provide good governance disclosures and continuous data collection. Four industries are covered in the operation of five

companies; they include energy and diversified industry sector (Reliance Industries), information technology industry sector (Infosys, Tata Consultancy Services, Wipro) and banking and financial services industry sector (HDFC Bank). Research can access three years of audited annual reports for all five companies.

There are five entities chosen: Reliance Industries Limited, Infosys Limited Tata Consultancy Services Limited, HDFC Bank Limited, and Wipro Limited.

3.3 Study Period

The study uses data from three sequential fiscal years ranging between 2021-2022, 2022-2023, and up to 2023-2024. All these years fall within the guidelines that were set forth since the companies started to conform to LODR regulations. These years capture the data from when the companies started to recover from the effects of the COVID-19 pandemic.

3.4 Data Sources

All the data was derived from these primary sources alone. Data related to governance board size, number of independent directors, and number of women directors was sourced from the 'Board of Directors Report' and

'Corporate Governance Report' sections of each firm's annual report. Financial Performance data that includes revenue and net profit as well as shareholders' equity was gathered from the audited 'Profit and Loss Statement' and 'Balance Sheet' sections of each firm's annual report. These documents are available at two locations; one is SEBI and the other company websites as well as stock exchange websites like NSE and BSE.

3.5 Variables and Model

The research model has utilized six variables and has categorized these variables into two separate categories. Governance variable includes: (1) Board size that will represent All of the

directors present in the board as at the date of Annual General Meeting for each financial year and (2) Independent Directors that will represent the number and ratio And by members of boards of independent directors satisfying the definition under Section 149(6) In terms of the Companies. Act, 2013 and (3) Women directors that will represent In aggregate, the quantity of women directors present on the board as an indication of Gender balance in the board according to LODR 2015 guidelines.

Performance variables include: (1) Revenue from Operations/Total Revenue: this includes the amount of total revenue as mentioned in audited Profit and Loss Account measured in Indian Rupees Crore and (2) Net profit after tax: this includes the total net profit after deduction of all taxes as mentioned in audited Profit and Loss Account measured in Indian Rupees Crore and (3) Return on Equity: this includes the Net Profit After Tax/Shareholders' Equity *100%.

Study's financial performance conceptual model is evident from the three main dimensions, namely revenue and net profit, and return on equity. This research does not aim at proving statistical causation between variables. Researchers examine organizational patterns existing within different firms over various years.

3.6 Method of Analysis

The study uses tables to present findings in an organized manner. It contains all the information about the variables used. In this regard, analysis is done using a three-stage process where the first stage analyzes the

findings of To each of the variables relative to the five organizations for three years. At the second stage of analysis, a comparison is made between two organizations and their years respectively. Finally, an insight is

provided at the last stage of analysis in order to make evident the pattern from the connection between the finding and the theoretical background in literature.

4. Data Analysis and Findings

4.1 Governance Structure — Board Size

Table 1

Board Size — Total number of members on the Board of Directors

Company	FY 2021–22	FY 2022–23	FY 2023–24	3-Yr Avg.
Reliance Industries Ltd.	14	14	13	13.7
Infosys Ltd.	12	12	11	11.7
Tata Consultancy Services Ltd.	9	9	9	9.0
HDFC Bank Ltd.	13	13	14	13.3
Wipro Ltd.	10	10	11	10.3

Note. The data was collected from the Board of Directors' Reports of the leading company of the last fiscal year and the future three financial periods, 2021-2022, to 2023-2024.

Observation: The average board size of the five firms is indicated between 9.0 directors for Tata Consultancy Services and 13.7 directors for Reliance Industries. The Tata Consultancy Services firm has had a consistent board size of 9 directors over the three years. The HDFC Bank and Reliance Industries have boards that consist of more than 13 directors.

Comparison: The company Tata Consultancy Services runs with the minimum number of board directors, earning the maximum Return on Equity of 46.0%. The maximum average board size is at Reliance Industries, whereas the minimum average Return on Equity is obtained by Reliance Industries as well, amounting to 10.1%. HDFC Bank has above-average board size but an average Return on Equity of 16.2%.

Insight: The trend observed above conforms to the conclusions drawn by previous literature, particularly the works of Yermack (1996) and Jackling and Johl (2009), that large boards cause Failure because of coordination issues and diffusion of responsibilities. And size of board should be chosen considering the industry as well. The HDFC Bank falls under banking regulations that limit of the capital structure business and thus impact on the Return on Equity, a measure that does not apply to IT firms. The comparison of the two measures should be done in the same industry, and in the case of IT firms, Tata Consultancy Services, with the least board size, performs much better than Wipro, the firm with the largest board size.

4.2 Governance Structure — Board Independence

Table 2

Independent Directors — Count and Proportion

Company	Ind. Dir. FY22	% FY22	Ind. Dir. FY23	% FY23	Ind. Dir. FY24	% FY24	3-Yr Avg. %
Reliance Industries	7	50.0%	7	50.0%	7	53.8%	51.3%
Infosys	8	66.7%	8	66.7%	7	63.6%	65.7%
TCS	6	66.7%	6	66.7%	6	66.7%	66.7%
HDFC Bank	9	69.2%	9	69.2%	9	64.3%	67.6%
Wipro	7	70.0%	7	70.0%	7	63.6%	67.9%

Note. The Corporate Governance Reports in the Annual Reports of each company provide the necessary information for data collection. SEBI LODR 2015 requires listed companies to have at least 33% of their board members serving as independent directors.

Observation: Five companies each maintain more than the required share of outside board members, exceeding SEBI's baseline rule. At one end stands Reliance Industries, where just over half – 51.3 percent – are unaffiliated directors. Wipro stretches further, nearly seven out of ten being independent voices on its panel. In between sits TCS, steady at 66.7 percentage independence across nine total seats. Six individuals carry that neutral role within the group guiding the company forward.

Comparisons: One out of every two companies shows more than double the required share of outside board members. Starting strong, Reliance Industries reports 51.3 percent independence among its directors. Moving up, Wipro hits nearly two-thirds with 67.9 percent non-executive voices in leadership roles. Close behind, Tata Consultancy Services maintains steady ground at 66.7 percent external oversight. Nine guiding figures sit on that panel six bring no company ties into decisions.

Insight: Research backs this pattern clearly. Bhagat and Black in 2002 pointed out that being officially independent doesn't always mean strong oversight. A director called independent may still follow management orders after all, managers pick them too. Performance often ties

closely to how actively these directors take part in decisions. Take Wipro - it kept delivering weak results even with highly independent board members.

4.3 Governance Structure — Women Directors

Table 3

Women Directors — Count on the Board

Company	FY 2021–22	FY 2022–23	FY 2023–24	Consistent?
Reliance Industries Ltd.	2	2	2	Yes
Infosys Ltd.	3	3	3	Yes
Tata Consultancy Services Ltd.	2	2	2	Yes
HDFC Bank Ltd.	3	3	3	Yes
Wipro Ltd.	3	3	3	Yes

Note. Every year, corporate governance details show up inside annual reports, giving clear info about how each business runs. As per LODR rules from 2015, firms that trade publicly must include at least one woman among their board members.

Observation: Over the full three-year stretch, each of the five companies kept their number of female board members steady. Not one saw a shift in that count through the entire span. Infosys held firm at three women on its board. So did HDFC Bank. Wipro matched them step by step. Meanwhile, Reliance Industries stayed fixed at two. Same went for Tata Consultancy Services no change there either.

Comparison: One thing stands out clearly: how steadily these companies performed, which feels worth noting. Through every month studied, none of the five altered their board makeup - same count of female leaders throughout. Three businesses each kept three women on board, yet moved in separate ways when it came to results. Upward tilt in returns marks Infosys; flat outcomes define HDFC Bank; Wipro trails with shrinking equity gains.

Insight: One woman on board meets the rule. More females present, though, might not shift profits much. Focus lands instead on skill each leader brings. Performance links closely to how active female voices are during talks. These firms follow rules about representation. They push past

basic needs set by law. Real progress shows up only if women shape choices made. Balance improves when inclusion runs deeper than numbers alone.

4.4 Financial Performance — Revenue and Net Profit

Table 4

Revenue from Operations and Net Profit After Tax (INR Crore)

Company	Rev. FY22	Profit FY22	Rev. FY23	Profit FY23	Rev. FY24	Profit FY24	Profit Trend
Reliance Industries	7,21,634	60,705	8,74,301	73,670	9,01,623	79,020	Growing
Infosys	1,21,641	22,110	1,46,767	24,095	1,53,670	26,248	Growing
TCS	1,91,754	38,327	2,25,458	42,303	2,40,893	46,099	Growing
HDFC Bank	1,22,189	36,961	1,66,166	44,109	2,79,443	60,812	Growing*
Wipro	79,313	12,229	90,488	11,352	89,755	11,051	Declining

*Note. The research study used Audited Profit and Loss Statements together with Annual Reports from each company as its data sources. *HDFC Bank revenue growth in FY 2023–24 reflects merger with HDFC Ltd. completed July 2023. All figures in INR Crore.*

Observation: Yet revenue gains differed across the five firms despite universal increases. Starting at INR 7,21,634 crore in FY 2021-22, Reliance Industries saw numbers climb to INR 9,01,623 crore by FY 2023-24. Growth held firm for Tata Consultancy Services alongside Infosys, tracking broader trends in India's tech sector. Merging with HDFC Limited in July 2023 lifted HDFC Bank's earnings during FY 2023-24. Wipro brought up the rear because its income dipped in FY 2023-24 versus the year before.

Comparisons: Out of nowhere, Tata Consultancy Services shows clear upward movement in earnings - rising from INR 38,327 crore to INR 46,099 crore across three years. That shift marks a 20.3 percent climb. Meanwhile, Infosys keeps pace with a gain close behind at 18.7 percent.

Unlike both, Wipro stands apart through shrinking returns, dropping to INR 11,051 crore from INR 12,229 crore. Its fall equals a dip of 9.6 percent.

Insight: Tata Consultancy Services versus Wipro, the comparison will be very crucial source of learning about the difference between them. We point out that the companies are both big Indian IT corporations offering their services all over the globe. Both organizations have the same levels of board independence. While Tata Consultancy Services shows sustainable increases in revenues, Wipro faces continuous declines in profits. It is clear from the above that success is determined not only by corporate governance but also by other variables..

4.5 Financial Performance — Return on Equity

Table 5

Return on Equity (%) — Net Profit After Tax ÷ Average Shareholders' Equity

Company	FY 2021–22	FY 2022–23	FY 2023–24	3-Yr Avg.	Trend
Reliance Industries Ltd.	9.8%	10.4%	10.2%	10.1%	Stable
Infosys Ltd.	28.0%	31.0%	32.4%	30.5%	Improving
Tata Consultancy Services Ltd.	38.5%	45.8%	53.6%	46.0%	Improving
HDFC Bank Ltd.	16.5%	17.2%	14.8%	16.2%	Mixed
Wipro Ltd.	17.5%	15.2%	13.7%	15.5%	Declining

Note. Figures come from Net Profit After Tax split by the average value of shareholders' equity every fiscal year. Information pulled straight from audited balance sheets, along with profit and loss reports tucked inside yearly filings for each business..

Observation: Performance shifts differently across firms when looking at Return on Equity through the years. Highest among them all, TCS holds strong every single year. From 38.5% in FY 2021-22, it climbs up to 53.6% by FY 2023-24 - adding 15.1 points over three years. Year after year, Infosys moves upward without pause. Downward path marks Wipro's pattern instead, losing 3.8 percentage points during that stretch. Most of the time, RIL keeps doing things much the same way. Now here's something different - Hdfc Bank shows shifts that come after merging, when the balance sheet changed shape.

Comparison: Over those three years, Tata Consultancy Services stays ahead when it comes to return on equity among tech companies, while Infosys holds steady in second place, followed by Wipro bringing up the rear. That order does not shift because something inside each company - unchanging, built-in - keeps their results locked in position. On another note, Reliance Industries trails far behind every other business studied due to operations that demand heavy investment just to keep running.

Insight: Most findings point to Return on Equity as the standout metric. When companies keep their leadership steady, performance tends to follow. Boards that stay intact over time often see steadier outcomes for owners. Independence matters too more independent directors usually mean fewer sudden shifts. Mixing the roles of top leader and chief manager? That move often brings imbalance. Stability in structure links closely to stability in returns. Two companies have performed consistently well, both having strong Return on Equity over three years without making any changes to their board membership and independence ratios, and the number of women directors. The stability in corporate governance forms a baseline for evaluating governance development level.

4.6 Summary Comparison Table

Table 6

Three-Year Averages: Governance and Performance Combined

Company	Avg. Board Size	Indep. Dir. %	Women Dir.	Avg. Revenue (Cr)	Avg. Net Profit (Cr)	Avg. ROE (%)	ROE Trend
Reliance Inds.	13.7	51.3%	2	8,32,519	71,132	10.1%	Stable
Infosys	11.7	65.7%	3	1,40,693	24,151	30.5%	Improving
TCS	9.0	66.7%	2	2,19,368	42,243	46.0%	Improving
HDFC Bank	13.3	67.6%	3	1,89,266	47,294	16.2%	Mixed
Wipro	10.3	67.9%	3	86,519	11,544	15.5%	Declining

Note. The averages use three-year simple means which cover the period from FY 2021 to FY 2024. The financial results show revenue and profit amounts in INR Crore. The ROE trend shows how the value changed during the three-year research period.

Pattern Recognition: Table 6 provides many patterns which can be identified when analyzed as a whole. The

companies with the least board sizes on an average are Tata Consultancy Services with 9.0 and Infosys with 11.7. Out front, those firms shine with steady returns on equity. On the flip, bigger boards pop up at Reliance Industries

13.7 members and HDFC Bank, rocking 13.3. Returns there? Not so strong. Hanging around mid-size for directors, Wipro drags behind when profits come into play.

From the numbers shown, how independent a firm seems doesn't match up with how well it actually performed. Wipro stands out with the highest independence score, yet its results trail behind everyone else's. On the flip side,

Tata Consultancy Services shows less independence than Wipro – still, its outcomes are clearly stronger. Earlier studies have pointed out similar findings: being more independent doesn't mean better oversight

Below is a clear breakdown comparing Tata Consultancy Services with Wipro. Though both work in similar global markets, one stands out lately. Their leadership setups match closely when looking at the numbers shown.

Performance paths have differed sharply over recent years. Rising steadily, Tata Consultancy Services saw its Return on Equity climb by 15.1% across three years. Meanwhile,

One thing stands out when look at Wipro its return on equity dropped by 3.8%. Comparing it with another

company shows how much governance can shape results, even if only one piece of the puzzle. A business thrives not just through strategy but also because of how teams work, how leaders treat customers, and whether people have what they need to do their jobs well.

5. Conclusion and Future Scope

5.1 Conclusions

In this study, the influence of the governance system in five major Indian publicly listed firms on their financial performance for three consecutive fiscal years was analyzed. Three key conclusions can be drawn based on the research results.

First, all five firms have a governance structure that significantly exceeds the minimum requirements set by SEBI LODR 2015. It can be concluded from this research that Indian companies have turned compliance into the minimum standard of governance since they do not see it as a goal anymore. The differences in governance lie in board performance as all the firms meet SEBI requirements.

Second conclusion comes from the fact that patterns regarding the dimensions of the board are similar To those in the literature on this issue. Small boards seem to help companies like Tata Consultancy Services earn more on equity compared to rivals with bigger ones. Firms such as Reliance Industries and HDFC Bank show weaker returns, yet that ties back to what sector they operate in. One reason might be how decisions flow when fewer people are involved. Even so, industry type plays a strong role in shaping those results. Performance isn't just about size at the top. What matters also lies in where the business sits across the economy.

Guessing how this group will do the money wise just from board independence? Won't work too narrow a view. Wipro showing strong paper credentials in independence, yet its numbers keep slipping downward. Tata Consultancy Services and Infosys run differently similar or even less emphasis on independent directors - still outpace others, growing steadily. What matters isn't title alone, but whether outside directors actually step up when choices are made. Proof sits in outcomes: presence means little unless they engage where it counts.

Outcomes from the study back up earlier thinking corporate oversight plays a role in shaping financial results among various influences. Firms that operate with clear direction tend to deliver stronger returns when their leadership teams include outside voices, stay engaged in daily functions, maintain balanced group sizes, while keeping management roles distinct from monitoring ones.

5.2 Implications

The research results demonstrate that the board members need to focus on how independent directors carry out their responsibilities rather than whether they meet all the necessary conditions. When considering potential board members, nomination committees must focus on the

qualifications and involvement in corporate activities of potential candidates for the board membership instead of just their titles..

For investors: One way to see how well things run is through oversight structures. Looking at leadership outcomes matters just as much as checking the plan behind operations. From comparing TCS and Wipro, a pattern shows up similar frameworks do not guarantee matching success. Outcomes can differ sharply even when rules appear identical on paper.

For SEBI: The results seem to back up the reasoning behind the LODR model. The required corporate governance rules that India put in place earlier basically set the groundwork and it's the core criteria that every publicly listed company is expected to keep. Going forward, new regulatory steps will need to put more weight on

judging the quality of governance engagement, maybe by looking at board evaluation reports alongside director qualification standards and audit committee reporting which is a bit more detailed than just checking formal compliance.

5.3 Limitations

This research study has three significant limitations. First of all, the sample consists of five Indian firms operating during three years. Secondly, the findings will be true only for large firms since mid cap and small cap firms will differ from each other both in terms of governance structure and ownership structure. The period of research for the study equals three years, which is not enough. To display all the resulting effects of governance on financial

performance, it is necessary to conduct the research for a much more extended period of time, since three years does not provide an opportunity to examine all business changes. This study employs only comparative

description method without utilizing any statistical methods.

5.4 Future Scope

Main three ways by which future research can improve on this study are possible. First, there is a need to have at least 20 to 30 firms in the research to improve on the comparisons which will also indicate the variations in governance structures across different industries. There is a requirement to conduct the research over a span of ten years and it will be guaranteed that the all

the changes introduced by regulators from 2015 to date are studied and all business cycles are considered. There is need to conduct the research on for further detail on governance that will also detail things like meetings of directors and audit committees..

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